

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

We reviewed and strengthened LBF's risk management framework during the year by conducting risk assessments across all business units and implementing strategic initiatives to mitigate identified risks. We are pleased to report that current risk levels remain within the boundaries established by the Board with improved capacity to absorb risks, positioning LBF for sustained profitable growth

PURPOSE OF THE COMMITTEE

The Board Integrated Risk Management Committee (BIRMC) is tasked with assisting the Board of Directors with oversight of the Company's enterprise-wide risk management function, ensuring the adequacy and effectiveness of the risk management framework



Mr. Ashane Jayasekara
Chairman - Board Integrated Risk Management Committee

COMPOSITION OF THE COMMITTEE

BIRMC comprises three Non-Executive Directors and is chaired by an Independent Non-Executive Director, in compliance with the Finance Business Act Direction No. 5 of 2021 on Corporate Governance issued by the CBSL. There was no alteration to its membership during the year. The profiles of the BIRMC members are given on pages 156 to 160.

BOARD MEMBER	BOARD STATUS
Mr. Ashane Jayasekara	Independent Non-Executive Director (Chairman)
Ms. Yogadinusha Bhaskaran	Non-Executive Director
Ms. Ashwini Natesan	Independent Non-Executive Director

COMMITTEE MEETINGS

The Committee convened six (6) meetings throughout the reviewed year complying with the regulatory requirement. Details regarding the attendance of committee members are stated in the page 174. The Managing Director, Deputy Managing Director, Executive Directors and the Senior Management of LBF including AGM Risk Management, Compliance Officer, Chief Internal Auditor and Chief Financial Officer attended the meetings by invitation. AGM Risk Management functioned as the Secretary to the Committee. Proceedings of the Committee were reported to the Board through submission of the meeting minutes. Risk profile and other specific matters are submitted separately for information of the Board. The recommendations made by the BIRMC during the year under review were duly approved by the Board.

CHARTER AND RESPONSIBILITIES

A Board approved charter is in place with clearly defined terms of reference that set out the mandate of the BIRMC in accordance with the Finance Business

Act Direction no. 5 of 2021 on Corporate Governance. The charter is reviewed annually to reflect regulatory and other developments. The BIRMC charter was last reviewed and approved by the Board of Directors in August 2023.

The responsibilities of BIRMC as set out in the charter are as follows:

- Establish an independent risk management function responsible for managing risk taking activities across the company
- Develop risk appetite through a Risk Appetite Statement (RAS), which articulates the individual and aggregate level and types of risk that the Company will accept, or avoid, in order to achieve the strategic business objectives
- Review at least annually, the Company's overall risk governance structure, and the risk management policy & procedure
- Assess all material risks i.e. credit, market, liquidity, operational, strategic, IT and information security risk of the Company at least once in two months basis through appropriate risk indicators and management information and make

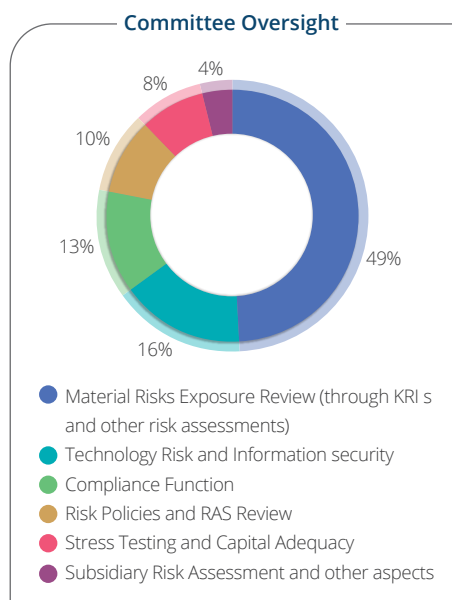
recommendations on the risk strategies and the risk appetite to the Board

- Review the adequacy and effectiveness of all management level committees to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the Committee
- Review any issues raised by Regulator, External Audit or Internal Audit that may materially impact the Company's risk management framework
- Take prompt corrective action to mitigate the effects of specific risk in the case such risks are at levels beyond the prudent levels, decided by the Board on the basis of the Company's policies and regulatory and supervisory requirements
- Assess all aspects of risk management including business continuity and disaster recovery plans
- Submit a risk assessment report to the Board meeting following the BIRMC meeting seeking the Board's view, concurrence and/or specific directions
- Oversee and review the outcomes of stress testing of the risk portfolio, including both scenario analysis and sensitivity analysis for the capital adequacy assessment process and liquidity adequacy assessment process
- Oversee the reports from management regarding the Company's insurance strategy
- Review new products/processes of the Company and recommend the proposed products/processes for the Board approval
- Oversee management processes to ensure adherence to the Company's risk management policy & procedure

The process through which the BIRMC discharges its responsibilities is detailed in the Interated Risk Management Report in Page 208.

COMMITTEE ACTIVITIES DURING THE FINANCIAL YEAR

The Committee assisted the BOD in discharging its responsibility on overseeing the risk management functions. During the six meetings conducted, the Committee allocated sufficient time to focus on key aspects as follows;



In discharging its responsibilities, BIRMC performed the following activities.

Credit Risk

- Regular review of overall credit risk exposure using appropriate risk indicators, assessing mitigation strategies and making recommendations
- Review of Risk Appetite Statement and making recommendations to add new criteria and revise limits to ensure that the Company operates within healthy risk tolerance boundaries
- Local and global macro economic factors were discussed to identify the impact of such factors on the Company in order to initiate actions in a proactive manner
- Credit Risk Management Framework was strengthened and recommended for the approval of the Board

Liquidity and Market Risk

- Review of liquidity management strategies and cashflow forecast to have sufficient liquidity buffers
- Review of stress testing results on liquidity risk to assess adequacy of liquidity reserves under stressed scenarios
- Continuous monitoring of gold prices to assess adequacy of Loan to Value ratio and distribution of the gold loan portfolio
- Review Assets and Liability Management and Liquidity Risk Management Framework and recommend same for approval by the Board.
- Oversight of Asset and Liability management and functioning of ALCO, reviewing minutes of ALCO meetings as deemed necessary
- Movement of macro economic factors were discussed and reviewed the sensitivity of net interest income to changes in the interest rate

Operational Risk

- Monitoring the implementation of an automated exception monitoring procedure and strengthening the Policy on Exception Monitoring to strengthen the process
- Risk and Control Self Assessments on Fraud risk were reviewed as a key deterrent to promoting a conducive organisation culture
- Approving an enhanced methodology assessing branch operational risk assessment
- Operational Risk Management Framework was reviewed and recommended for the approval of the Board

IT and Information Security Risk

- Reviewed progress on implementation of technology security controls as per the regulatory Direction No 1 of 2022
- Information Technology Risk Management Framework was reviewed and recommended for the approval of the Board
- Close attention of the committee was given on setting up a framework for Personal Data Protection. Committee extended its assistance in initial tasks required in this process such as data

mapping, establishing a policy, etc. and recommended recruiting expertise on the relevant area

Capital Adequacy

- Reviewed the Internal Capital Adequacy Assessment Process (ICAAP) report, which is a voluntary adoption and recommending for the approval of the Board
- Stress testing results were reviewed to ensure the Company's solvency under stressed scenarios

Other Risk Related Activities

- Assessed the effectiveness and adequacy of management level committees
- Monitored the risk exposures of the Company's subsidiary
- Risk register was reviewed to check the management commitment towards mitigating the open risks

Compliance Function

- Monitored implementation of new rules and regulations issued by the regulatory authorities
- Reviewed the Compliance checklist on monthly basis to ensure that the Company and its subsidiary are compliant with regulatory requirements
- Anti-Money Laundering (AML) and Countering of Financing of Terrorism (CFT) reports were reviewed quarterly
- Review of annual risk assessment of Money Laundering and Terrorist Financing (ML & TF) risks of the customers, products, processes and the overall Company

BIRMC continues to remain vigilant in view of the dynamic risk landscape and review the need to use additional tools to assess risk in the operations of LBF.

Ashane Jayasekara
Chairman
Board Integrated Risk Management Committee

27 May 2024